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MANUSCRIPT

Shifting the blame to a powerless intermediary

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Abstract We extend the results of Bartling and Fischbacher (Rev. Econ. Stud. 79(1):67–87, 2012) by showing that, by delegating to an intermediary, a dictator facing an allocation decision can effectively shift blame onto the delegee even when doing so necessarily eliminates the possibility of a fair outcome. Dictators choosing selfishly via an intermediary are punished less and earn greater profits than those who do so directly. Despite being powerless to influence the fairness of the outcome, an intermediary given the choice between two unfair outcomes is punished more than when the dictator chooses one directly. This is not the case when the intermediary merely can initiate the random selection of one of the outcomes. Our findings reinforce and clarify the usefulness of agency as a tool to evade perceived culpability.

Keywords Intermediation · Punishment · Delegation · Blame shifting

1 Introduction

Players in experimental dictator games may avoid censure and costly punishment by delegating the allocation decision to an intermediary.[1] However, it is not clear

[1] Apart from the research discussed below, Fershtman and Gneezy (2001) and Hamman et al. (2010) provide evidence of how dictators may use delegation to avoid negative judgment for harmful or selfish behavior.

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whether the willful choice by the intermediary of a selfish outcome over a less-selfish outcome is necessary for blame shifting, or whether the mere presence of a nominal intermediary is sufficient, regardless of his power to influence the fairness of the outcome. We show that delegating shifts blame away from the dictator and *onto* the intermediary, even when the intermediary only faces unfair outcome choices. However, the intermediary escapes further blame if he is completely unable to influence the outcome.

Our experiment is a close adaptation of the delegation and punishment treatment of Bartling and Fischbacher (2012) (hereafter, BF), in which a dictator could choose between an equal split of $20 among her four-person group[2] or an unfair split that favors her and a second group member at the expense of the remaining two, who were passive recipients. She could also delegate this choice to the group member, enlisting him as an intermediary. After observing the choice, one of the two recipients was randomly chosen to reduce the earnings of the other players in the group, for a fixed cost.[3]

We alter the BF design by (1) expanding the set of available allocations to include *two* unfair allocations, both yielding high payoffs for the dictator and the intermediary and differing only in which recipient is harmed more, and (2) having the act of delegating necessarily preclude the fair allocation. Thus, despite the elimination of the fair allocation, the intermediary still has a choice between two options when the dictator passes. In a second treatment, we remove any element of choice from the intermediary's role, requiring him, when the dictator passes, to click a button that serves to initiate the random selection of one of the two unfair allocations.

Like BF, we find that—given that the final allocation is unfair—the dictator is punished less if she delegates than if she had chosen directly, while the intermediary's punishment increases. Thus, we show that the results of BF are robust to altering and restricting the intermediary's choice set. The fact that the intermediary is punished, even when his choice cannot possibly increase the likelihood of an unfair allocation, challenges the responsibility measure proposed by BF, which ties responsibility to the extent to which a choice increases the probability of an unfair allocation. If the intermediary can merely initiate the random selection of an unfair allocation, the effectiveness of delegation as a punishment-avoidance strategy persists, albeit in a weaker form, and the intermediary is spared from additional punishment.[4]

Coffman (2011) allows a dictator to split money directly with a recipient or to pass any part of the surplus to an intermediary, who can share this amount with the recipient. He allows a fourth party to punish the dictator (without cost) and finds that the dictator's punishment is reduced when she implements an unfair outcome through the intermediary, even when she keeps the entire surplus, leaving the intermediary with nothing to share. Our findings reinforce Coffman's conclusion that sanctions for harmful behavior are reduced when the responsible party does not directly interact

[2]We refer to the dictator as "she" and the intermediators and recipients as "he".

[3]Though the experiment instructions avoid all language pertaining to punishment, we follow BF in interpreting the deductions chosen by a recipient as a form of punishment.

[4]This is consistent with the results of the BF's *random* treatment, in which the dictator can only pass to a randomization device.

with the victim. We extend his results to a context in which the intermediary's interests are aligned with those of the dictator and show robustness to a different (costly) punishment technology. Furthermore, by allowing punishment of the intermediary, we identify the conditions under which blame actually shifts *onto* him.

2 Experimental design

The design is a close adaptation of the one used in BF, featuring a four-person dictator game over a \$20 surplus. Available allocations included an equal split (\$5 each); an unfair option yielding \$9 each to the dictator (D) and a second player who was the potential intermediary (N), while leaving \$2 to one of the remaining recipient players (R_1) and \$0 to the other (R_2); and a second unfair option that differed from the first only by switching the payoffs of R_1 and R_2. The dictator could choose one of these allocations directly or pass the decision to N. In the first treatment (*Choice*), when the decision was delegated, N could choose either of the two unfair allocations, but not the fair allocation. In the second treatment (*Random*), he could only click a single button, which caused the computer to randomly select one of the two unfair allocations.[5]

Following BF, we randomly selected R_1 or R_2 to assign punishment. The punisher could pay \$1 to deduct up to \$7 in any combination from any of the other three participants, with the restriction that the resulting payoffs must be non-negative.[6] At the end of the experiment, the deductions specified for the realized outcome by the selected punisher were implemented. In ten sessions, after having completed their task, we elicited beliefs from the dictators and intermediaries about the deductions made by others.[7]

The experiment used a z-Tree (Fischbacher 2007) treatment adapted from that used by BF. We conducted 22 sessions of 8 or 12 people, each lasting 30–45 minutes, with a total of 256 participants.[8] We used the online system ORSEE (Greiner 2003) to randomly recruit participants from the University of California–Santa Barbara subject pool, largely comprised of students and staff. Groups and roles were randomly assigned. Participants followed along as preliminary instructions were read out loud. Then they learned their roles and received role-specific written instructions which included exercises to verify understanding, also adapted from BF. Average payment was \$11.18, including a \$6 show-up fee.[9]

[5] We call the split of the \$20 an *allocation*, whereas a terminal history of the decision process, including both the allocation and the player choosing it, is called an *outcome*.

[6] Like BF, we used the strategy method to elicit the punishment choices for both R_1 and R_2; each specified a punishment (contingent on him being selected) for each of the five possible outcomes in a randomized order. In contrast, the intermediary only made a decision when called upon after the dictator delegated. We explained to the participants that we increased the show-up fee to \$6 from the usual \$5 so that a person who received \$0 from the dictator game would still have a minimum of \$5 if she chose a non-zero deduction.

[7] Details and analysis of the belief-elicitations are available in the online Appendix A.4.

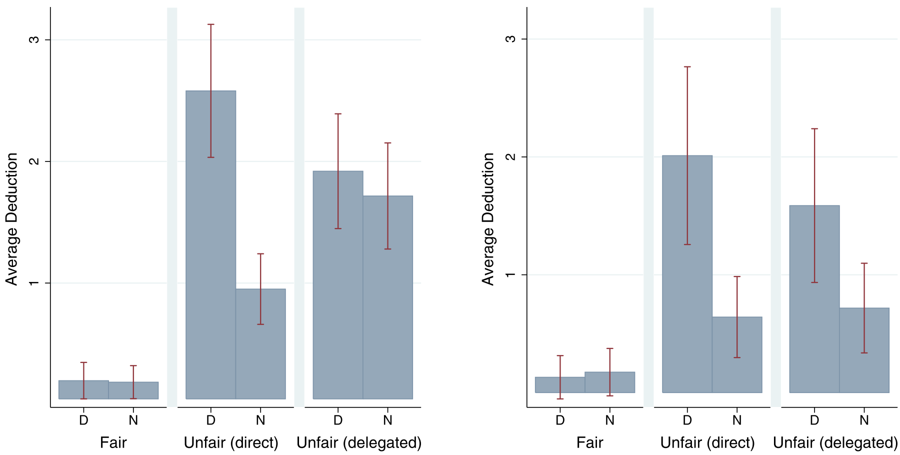
[8] We dropped observations from two subjects who participated in more than one session in the *Choice* treatment (one dictator, one recipient).

[9] Full instructions and the software are available in the online appendix.

3 Results

Our primary interest is in how delegation affects the punishment following an unfair outcome, with the null hypothesis being that delegation does not affect punishment levels and the alternative being that it reduces D's punishment and increases that of N. Holding constant whether or not the dictator delegates, average punishment for the two unfair allocations is the same, so to test our hypotheses we average the punishment choices of each recipient for the unfair allocations within two categories: those chosen directly and those resulting from delegation.[10] Figure 1 and Table 1 show expected punishment—averaged across both recipients—for each outcome by treatment and illustrate our main results. Recipients shift the blame for a delegated unfair outcome away from D, but only in the *Choice* treatment is it redirected onto N.[11]

Given an unfair allocation in the *Choice* treatment, delegation reduces D's average punishment from \$2.58 to \$1.92, a drop that is significant according to both a two-sample, one-tailed test of differences in means ($t = 1.82$, $p = 0.04$) and a Wilcoxon signed-rank test ($z = 4.00$, $p < 0.01$). In the *Random* treatment, D's punishment drops from \$ 2.01 to \$1.59. While a smaller sample undermines the significance level in the t-test ($t = 0.86$, $p = 0.20$), because the non-parametric Wilcoxon test more definitively rejects ($z = 1.70$, $p = 0.04$) the null hypothesis of equal punishment, we conclude that in both conditions delegating maximizes D's expected profit, though the effect is weaker in the *Random* treatment.



(a) *Choice* treatment (b) *Random* treatment

Fig. 1 Average punishment by outcome

[10] Online Appendix A.1 provides evidence supporting this claim.

[11] Although Fig. 1 alone convincingly shows that the fair allocation is punished much less than any of the unfair allocations selected by any means, we provide hypothesis tests to support this claim in Appendix A.2, available online. Furthermore, in the analysis that follows we do not comment on the punishment for the non-punishing recipient, which is negligible. Online Appendix A.3 provides evidence supporting this claim.

Table 1 Average punishment and punishment frequency

Outcome	*Choice* ($N = 81$)			*Random* ($N = 46$)		
	% ded.	Mean deduction		% ded.	Mean deduction	
		from D	from N		from D	from N
Fair	9	0.20	0.19	7	0.13	0.17
Unfair direct	53	2.58	0.95	40	2.01	0.64
Unfair delegated	55	1.92	1.72	35	1.59	0.72

Conversely, when D delegates, N's average punishment in the *Choice* treatment increases from \$0.95 to \$1.72, allowing us to reject the null hypothesis of equal punishment ($t = 2.91$, $p < 0.01$ and $z = 5.41$, $p < 0.01$). In contrast, the increase in N's average punishment in the *Random* treatment from \$0.64 to \$0.72, only a fraction of the jump seen in the *Choice* treatment, is not significant ($t = 0.30$, $p = 0.38$ and $z = 0.46$, $p = 0.32$). Furthermore, N's average punishment following delegation is lower in the *Random* treatment than in the *Choice* treatment ($t = 3.45$, $p < 0.01$). Thus, blame is not shifted onto N when he must randomize.

Table 1 also displays punishment frequency by outcome for each treatment. A significantly higher fraction of recipients choose to punish the dictator for an unfair outcome than for the equal split. In the *Choice* condition, the punishment rate rises from 9 % to an average of 54 % (Two-sample test of proportions, $z = 6.84$, $p < 0.01$), while in the *Random* condition it rises from 7 % to an average of 38 % ($z = 3.86$, $p < 0.01$). In neither condition does the punishment rate for directly-chosen unfair allocations differ significantly from the punishment rate for delegated allocations ($z = 0.24$, $p = 0.81$ and $z = 0.54$, $p = 0.59$, respectively). Thus, the difference in average punishment levels can be attributed mostly to the difference in conditional punishment levels.

Finally, not all dictators choose the profit-maximizing way to implement a selfish outcome. Fifteen (38 %) out of 40 dictators in the *Choice* treatment delegate, while 12 (30 %) choose fairly and 13 (33 %) choose an unfair allocation directly. In the *Random* treatment, 10 out of 23 (43 %) delegate, 11 (48 %) choose fairly, and 2 (9 %) choose an unfair allocation directly. In the *Choice* treatment we cannot reject the hypothesis ($z = 0.47$, $p = 0.64$) that dictators directly choose unfairly at the same rate at which they delegate, though in the *Random* treatment we can ($z = 2.69$, $p < 0.01$).

4 Conclusion

We find that individuals can avoid the perception of culpability by delegating a harmful decision to an intermediary powerless to choose a fair outcome. Moreover, even when the intermediary is in no way complicit, he may be punished as long as he has some degree of choice. This extends the results of BF and of Coffman (2011) and highlights the importance of delegation as a blame-shifting tool.

Like BF, neither outcome-based theories of social preferences nor intentions-based models of sequential reciprocity explain our findings.[12] Yet, because our intermediary is powerless, the responsibility measure proposed by BF, which assigns a person responsibility for an outcome if and only if her action increases the probability that this outcome will result, cannot explain why the dictator is punished less and the intermediary is punished more. Further research is needed to understand the punishment mechanism.

Not only does delegating maximize the dictator's expected profits, it does not carry the risk, present in BF's main treatment, that the intermediary might choose the low-paying fair outcome. Furthermore, it avoids possible psychological costs associated with having to choose whom to harm most (see Dana et al. 2006, 2007; Grossman 2010; Lazear et al. 2012). So why do so many dictators in the *Choice* treatment choose an unfair outcome directly?

Since they bypassed the punishment-minimizing equal split, it is difficult to argue that these dictators are being helpful. Even limiting concern to the intermediary, this explanation is implausible because the direct choice of an unfair allocation renders the dictator an expected payoff lower than that of the intermediary.[13] Some dictators may have directly chosen an unfair allocation under the belief that the punishment savings from delegating would be trivial, perhaps because doing so belies a "dubious motive" (Paharia et al. 2009).[14] Alternatively, delegating one's harmful action to someone else might "feel wrong" or violate a personal rule, imposing a different psychological cost.

While our results illustrate just how easily a person may avoid negative judgment by delegating, they also highlight an important limitation of using delegation for this purpose. An agent who expects to be blamed for someone else's misbehavior may demand compensation from the principal. As a consequence, principals will be driven to contract with agents who are difficult or costly to punish, whether due to skill or punishment technology, or with an agent who would randomize on their behalf, who—the results of the *Random* treatment suggest—would escape punishment. Further research with voluntary contracting between the principal and agent, as in Hamman et al. (2010), is needed to understand the conditions under which principals can successfully avoid the costs of misbehavior in the marketplace.

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[12]E.g., see Bolton and Ockenfels (2000), Charness and Rabin (2002), Fehr and Schmidt (1999) for the former and Dufwenberg and Kirchsteiger (2004) for the latter.

[13]Charness and Rabin (2002) find that people have little willingness to sacrifice their own payoff to help those who have more than them.

[14]In Appendix A.4, we examine dictator beliefs and find little linking delegation to the perceived difference in punishment between direct versus delegated unfair allocations.

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